



IS CROWDFUNDING REALLY A VIABLE OPTION TO FUND YOUR IDEAS AND POSSIBLY YOUR NEXT STARTUP?

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Let's face it - when it comes to realising your dreams, money is almost always a big deal. Even if you've had the best idea ever - one that is going to help the entire world and make you eternally famous - if you don't have the moolah to put behind it, consider it doomed in the age of distractions and short attention spans. Hence, when crowdfunding was touched by technology, it got a lot of attention. Today, we have successful projects like the Oculus, Pebble and many more that have hit mainstream popularity, all thanks to widely successful crowdfunding campaigns.

Hence, it is natural for people to look up to crowdfunding as this

magical solution to all money problems when it comes to launching your own product or business idea. It's not as if crowdfunding does not work today, but gone are the days when all you needed was a Kickstarter campaign to get media attention and widespread demand that initial projects experienced. Simply having an ongoing campaign won't work anymore. "I built it, but they did not come" is a very common, and heavily misused excuse from rapidly failing campaigns these days. And why are they failing? Because none of those campaigners really know how crowdfunding works any more.

If you look at statistics from Kickstarter and Indiegogo, two of the most popular crowdfunding platforms out there, you will find that less

than a third of the attempts made at a successful crowdfunding campaign manage to get any substantial funding at all. One of the major misconceptions is that a campaign, once created, will mostly be successful on its own - as if there is a huge group of users browsing crowdfunding websites all the time, looking for projects to put their money into. Which is not true. Whether you're looking at crowdfunding as the first answer to your money needs or as a last ditch effort to keep your venture afloat, you need to get one thing straight - most crowdfunding websites are merely platforms to help you reach potential backers efficiently and you will still need some people you can pitch directly to.

So, on one hand, there are the numbers shared above that indicate the